

HEDGEYE DAILY DIGEST

Thursday, 10 September 2026 (GMT+8)

*The dollar is the story. The **US Dollar Index broke to fresh three-month lows at \$98.77**, and Keith McCullough's read is that Treasury's yen intervention is not containing inflation — it is manufacturing it. With the **CRB Commodities Index at new #Quad2 cycle highs** and both the **2-year (4.50%)** and **10-year (4.86%)** Treasury yields signalling new inflation-cycle highs at the top of their risk ranges, the money that cannot go into dollars or Treasuries is flowing into commodities, gold, bitcoin and cyclicals. Underneath that, the equity tape narrowed sharply: **71% of US stocks fell an average of 2.1%**, housing was the worst factor at **-3.0%**, and the **S&P 500 flipped to bearish TRADE / bullish TREND at 7,695 / 7,501**. All eyes now on **Friday's CPI**, where Hedgeye sits at the high end of Street estimates.*

Hedgeye publishes on US Eastern time; EDT + 12 hours = GMT+8. "Today's Publications" covers Hedgeye's Wednesday 9 September (EDT) publishing day, which lands Wednesday evening through Thursday morning in GMT+8. "Yesterday's Publications" covers Tuesday 8 September (EDT).

TODAY'S PUBLICATIONS

EARLY LOOK — “Burning Down The USD House?”

Keith McCullough · Early Look · 9 Sep 2026, 07:42 EDT (19:42 GMT+8)

McCullough opens with physicist **David Bohm's “Implicate Order”** — the idea that reality is an unbroken flowing whole, and you cannot manipulate one part without the whole responding — and turns it on Treasury Secretary **Scott Bessent's “I am the house”** remark about yen intervention. The argument: whatever the official framing, the market is the house, and Bessent's house is burning down in dollar terms.

The mechanism McCullough lays out is deliberately simple. The currency you are paid in goes down; the real price of what you need to buy goes up. He points to real-world prices rather than the official statistics: the **US Dollar Index at fresh three-month lows of \$98.77**, signalling lower-lows inside a **Bearish TREND**; the **Japanese Yen up another +0.4% to \$153.51** and **Bullish TRADE and TREND**; and the **CRB Commodities Index up another +0.7% to new #Quad2 cycle highs**. His aside on **rubber prices inflating +14% in the last month** is the point in miniature — tyres are “core” to a car even if they are not core to the Fed's preferred index.

The causal chain he sets out: Up Yen → Down Dollar → Inflation Accelerating → more war → more inflation → new highs in bond yields. That is why the Treasury short remains on. The **UST 2-year yield** is signalling new inflation-cycle highs with a top-of-range **4.50%**, and the **UST 10-year** at **4.86%**.

Beneath the macro, the rotation is violent rather than absent. **Goldman's US Housing factor basket led losers at -3.0%**, extending its one-month drawdown to **-10.1%** — the literal housing market burning alongside the metaphorical one. On the other side, **High Beta Momentum**, which Hedgeye flagged as immediate-term TRADE oversold last week, posted **one of its biggest relative up days in months at +6.7%**, though it remains **-5.0% over one month**. The closing thought: this is a closed system, the Implicate Order does not leak, and devalued money has to flow somewhere — including into semis, which McCullough reframes as “cyclical commodities.”

Investment implication: stay long the commodity and inflation complex, stay short duration and rate-sensitive equity, and treat dollar weakness as the transmission mechanism rather than a sideshow.

Risk Range™ Signals — 9 September 2026

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Asset	Risk Range	TREND
10-Year US Treasury Yield (UST10Y)	4.68 – 4.86	Bullish
High Yield (HYG)	78.91 – 79.49	Bullish
Investment Grade Corporates (LQD)	104.6 – 106.1	Bearish
S&P 500 (SPX)	7604 – 7767	Bullish
NASDAQ Composite (COMPQ)	26008 – 26711	Bullish
Russell 2000 (RUT)	2912 – 3014	Neutral
Health Care (XLV)	166 – 175	Bullish
Expanded Tech-Software (IGV)	99 – 112	Bullish
Oil Services (OIH)	414 – 444	Bullish
Volatility Index (VIX)	13.85 – 16.34	Bearish
US Dollar Index (USD)	98.41 – 99.52	Bearish
WTI Crude Oil (WTIC)	86.36 – 97.53	Bullish
Natural Gas (NATGAS)	2.80 – 3.03	Bullish
Gold Spot (GOLD)	4290 – 4599	Bullish
Copper Spot (COPPER)	6.49 – 6.75	Bullish
Silver Spot (SILVER)	64 – 68	Neutral

THE MACRO SHOW — Summary Notes, Wednesday 9 September

Keith McCullough & Emma Vlasic · The Macro Show · 9 Sep 2026, 10:49 EDT (22:49 GMT+8)

Dollar breakdown, commodities as the main long. Keith opened by pushing back on the “I am the house” framing — the market is the house. Treasury's yen/dollar intervention is effectively a devaluation, which is helping positions Hedgeye already owns: **bitcoin, gold and a broad commodity basket**. Global FX volatility has broken out to bullish trend, and rather than absorb the inflation acceleration, Hedgeye stays net long commodities via **IBIT, WEAT** and **SRUUF**, with the **CRB Index at new three-month highs**.

KOSPI and DRAM — shorts covered, but not buying. The **KOSPI** moved back above immediate-term **TRADE** at **6,978** with **TREND** at **7,283**, closing at **7,057** after a **+1.4%** overnight move. That is a bullish **TRADE** / bearish **TREND** setup, and Keith's rule is that he neither buys nor shorts those. The meaningful change: the signal took Hedgeye **out of the South Korea short, out of the DRAM short and out of the semis short** after high beta momentum became immediate-term oversold. **DRAM is back to bullish TREND**.

Breadth is narrowing, not broadening. Keith called breadth “dog breath.” **71% of US stocks were down an average of 2.1%**, with **8 of 11 sector styles red**, and the **Health Care (XLV)** long finally taking a **-2.5%** day. Hedgeye had already exited its broadening exposures, including **equal-weight S&P**, booking gains near overbought before reducing and exiting. The areas breadth had narrowed into — health care and software — were exactly what got hit.

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S&P 500 flips to bearish TRADE. With the index making lower highs, the levels are **TRADE 7,695 / TREND 7,501** — bearish TRADE, bullish TREND. The process from here: stop buying, reduce toward minimum size, and wait to reclaim. Above **7,695**, “the rain stops” and positions can be bought back. **VIX at 15.72** keeps volatility in the investable bucket, and Tier1 Alpha flow data is neutral-ish but could turn positive — Keith cited a possible **\$7bn of buying** if realised-vol roll-off dynamics continue and SPX reclaims the line.

Rates, bonds and housing. Bond volatility, the bond market, the dollar and global FX volatility are where “the house” is losing. Oil's upside is amplifying higher highs and higher lows across the yield curve; the **2-year risk range updated to 4.28%–4.50%**, and a hawkish CPI could push it toward the top end. On housing, Keith refused price targets and framed it directionally: if yields keep rising, **ITB** keeps falling, and it is already making lower lows and lower highs.

Mega-cap tech — buy the right weakness. Keith would buy **NVDA, AAPL and MSFT** — the three worst market-impact names of the prior day — rather than names that acted badly for structural reasons. **MSFT** would have been first. **AAPL** remains bullish TRADE and TREND into its event if it holds. **META, TSLA and GOOGL** moved back to bullish TRADE simply because SPY did and flows turned positive; he warned against over-attributing that to single-stock narratives.

Global. China has a higher low but still needs a TRADE breakout and a TREND breakout — signal incomplete. **Japan** remains weak. **Spain** was flagged as a buy for a second consecutive day and is Keith's only European exposure after selling all euros.

Commodities and crypto. Oil has immediate-term upside toward **97.53**, which would draw headlines near \$100 and keep pressure on yields. **Bitcoin** is back to bullish TRADE and TREND with upside toward roughly **81,000–82,000**, tied directly to the dollar's inverse correlation. **Gold's key line is 4,381** — above it, bullish TRADE and TREND and he buys more; below, he manages risk. He would also buy dips in **copper miners**.

MOMO TRACKER — Mag7 (-0.4%), High Beta Momo (+6.7%)

Christian Drake & Ryan Ricci · Momentum Stock Tracker · 9 Sep 2026, 08:20 EDT (20:20 GMT+8)

The tracker is published as a chart dashboard rather than narrative text, so this is summarised from its headline signals. **Mag7 fell -0.4%** while **High Beta Momentum surged +6.7%** — the sharp mean-reversion bounce off oversold levels that McCullough flagged in the Early Look. Signal changes: **AMZN moved to NEUTRAL** and **NFLX to BULLISH**. **KOSPI rose**, while **breadth deteriorated**. The combination — momentum ripping, breadth falling, mega-cap flat — is the narrowing tape in a single line.

CAPITAL ALLOCATION PRO — Daily Dashboard

Robert McGroarty, Andrew Nanai & David Salem · Capital Allocation Pro · 9 Sep 2026, 08:43 EDT (20:43 GMT+8)

Confirmation that the **Model Portfolio changes announced 8 September went into effect using Tuesday 8 September closing prices**. **TREND and TAIL levels for the 68 covered ETFs** were last refreshed on **28 August** closing prices, on the standard three-to-four week cycle. Coverage housekeeping: the dashboard has begun tracking **BNO (Brent)** and **USO (WTI)** while dropping **MBB** and **PFF**. September's Monthly Commentary was posted 2 September.

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ETF PRO PLUS — 5 New Changes

ETF Pro Plus · 9 Sep 2026, 10:28 EDT (22:28 GMT+8)

Adding long: **Singapore (EWS)** and **Corn (CORN)** — another commodity add, consistent with the #Quad3 global framework. Removing long: **High Dividend (HDV)** at **29.02–29.96** and **High Yield Bonds (HYG)** at **79.0–79.68**, both having broken TRADE and/or TREND. Removing short: **AMD Option Income Strategy (AMDY)** at **40.09–45.28** — cover. The HYG removal is notable given HYG still screens bullish in the Early Look risk range, and reads as a level-driven rather than directional exit.

DIGITAL ASSETS — Position Monitor

Josh Steiner, Christian Drake & Matthew Cooper · Digital Assets · 9 Sep 2026, 06:55 EDT (18:55 GMT+8)

A broad upgrade across the crypto complex: **COIN, AVAX, XRP, MSTR and CRCL** all moved to **Best Idea Long**, with **MARA** moved to the **Long Bench**. This sits squarely on top of the dollar-devaluation thesis — bitcoin back to bullish TRADE and TREND with the dollar bearish on both durations.

SIGNAL STRENGTH STOCKS — 61 Stocks (6 Added, 6 Removed)

Signal Strength Stocks · 9 Sep 2026, 12:00 EDT (10 Sep, 00:00 GMT+8)

The list holds at **61 names** with even churn. **Added: PFE, U, CAH, FSK, VREOF, SNDL**. **Removed: SPGI, SBUX, COF, SHOP, EVER, BRCB**. The removals skew toward financials and consumer discretionary — consistent with the rate-sensitivity and breadth-narrowing theme. Context from Tuesday's Macro Show: Signal Strength breadth has compressed to roughly **62 longs vs 62 shorts**, against approximately **90 longs and 40 shorts** at the market's previous all-time high.

YESTERDAY'S PUBLICATIONS

EARLY LOOK — “Oil, Rates, Inflation #Accelerating”

Keith McCullough · Early Look · 8 Sep 2026, 07:31 EDT (19:31 GMT+8)

What: The Tuesday flagship, framed around a Barstool “go direct” analogy, arguing commodities remain firmly in **Global #Quad3** and that the currency and commodity signals are perpetuating higher-for-longer bond yields.

Why: A weaker dollar plus rising commodities reinforces the rate setup, which in turn pressures small caps and rate-sensitive equity.

Who / What's moving: **US Dollar Index -0.5% w/w**, resuming Bearish TRADE and TREND. **Japanese Yen +2.4% w/w**, back to Bullish TREND. **EUR/USD -0.1%** and **GBP/USD -0.4%**, both to Neutral. **Canadian Dollar +0.3%** and **Colombian Peso +2.5%**, both Bullish TREND — the peso carrying an **epic three-month trending return of +13.9%**, supporting the long Colombia (**COLO**) position.

Key numbers: **CRB Index +2.5% w/w, +11.5% over one month**. **WTI oil +9.7% w/w, +23.0% over one month**. **Copper +0.4% w/w and inflating to all-time highs**. **Natural gas +3.0% w/w, +10.9% over one month**. **Russell 2000 +0.1% w/w but -2.0% over one month**, with **small-cap factor exposure in the S&P -1.7% w/w vs large cap +0.3%**. **UST 2-year +2bps w/w, +17bps over one month; UST 10-year +5bps w/w, +16bps over one month**.

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Takeaway: long **OIH, ICOP and UNG**; short **TLT, ZROZ, LQD** and a re-loaded **XLU** short on Friday's bounce; no small-cap factor exposure. Hedgeye's CPI nowcast for Friday is at Street-high.

THE MACRO SHOW — Summary Notes, Tuesday 8 September

Keith McCullough & Daryl Jones · The Macro Show · 8 Sep 2026, 10:14 EDT (22:14 GMT+8)

What: The session that documented the single most important positioning shift of the week — Real-Time Alerts moving to **2 longs and 6 shorts**, a net short US equity book, from roughly **12 longs versus 1 short** earlier in the advance.

Why: Lower highs, weakening breadth and rising rate risk — with the S&P coming off the top end of its risk range while signalling a lower high — rather than any single bearish narrative.

Who: The two surviving longs were both consumer staples, **J.M. Smucker (SJM)** named explicitly, described as “PB&J and ice cream.” Shorts spanned **TLT, ZROZ, LQD, XLU**, plus **Ryder (R)**, **SAIC** and **SoftBank (SFTBY)**.

Key numbers: Oil Alpha Code **85 / 83** with **WTI around \$92** and medium-term upside toward **~\$96**. Top-of-range yields at **4.50% (2yr)** and **4.87% (10yr)**. Keith's CPI arithmetic: every **\$1 on oil adds roughly 3–4bps to inflation**, so oil's move from **~\$87 to ~\$94** could add **~20bps**, pushing forward CPI estimates toward **3.7%–3.8%** and back toward **4%**. Signal Strength breadth compressed to **62 longs vs 62 shorts** from **~90 / 40** at the prior all-time high.

Takeaway: the book went net short US equities while commodity exposure stayed broad. **Silver was sold entirely and gold cut back to minimum position size** — explicitly a signal-driven response to accelerating yields ahead of CPI, not a change of long-term view. Small-cap and Russell 2000 exposure removed. **Semiconductors returned to neutral**, so no forced position. **Spain** added to the buy-the-pullback list; **Japan** shifted to bearish TRADE and TREND alongside the yen breakout.

CAPITAL ALLOCATION PRO — Model Portfolio Changes, Effective 9/8/2026

Capital Allocation Pro · 8 Sep 2026, 13:25 EDT (9 Sep, 01:25 GMT+8)

What: Formal notice of Model Portfolio changes taking effect on **Tuesday 8 September closing prices**.

Why / Takeaway: Executes the shift already visible in the Real-Time Alerts book. The same note confirms the **28 August** refresh of TREND and TAIL levels across the **68 covered ETFs**, and the **BNO / USO** in, **MBB / PFF** out ticker substitution.

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ALSO PUBLISHED

Tuesday 8 September (EDT)

MOMO Tracker | Mag7 (-1.4%), High Beta Momo (+4.4%), TSLA=BEARISH — Momentum Stock Tracker, 08:18 EDT. Documented the net short and factor shifts a day before the **+6.7%** momentum snap-back.

CRYPTO QUANT | BTC (-1.6%), MARA=NEUTRAL, ETFs +\$1.1bn W/W — Bitcoin Trend Tracker, 08:11 EDT. Weekly ETF inflows of **\$1.1bn** despite the price drawdown; MARA neutral before Wednesday's upgrade cycle.

Signal Strength Stocks: 61 Stocks (2 Added, 3 Removed) and 62 Stocks (0 Added, 0 Removed) — quiet churn before Wednesday's six-for-six rotation.

UPDATE: 3 New ETF Pro Changes — ETF Pro Plus, 10:34 EDT.

WHAT TO WATCH

- **Friday's US CPI** is the week's binding catalyst. Hedgeye's nowcast is at the **Street high**, and Keith's oil-to-CPI arithmetic points toward **3.7%–3.8%** with a path back toward **4%**. A hawkish print pushes the **2-year toward 4.50%** and validates the duration short.
- **SPX 7,695** is the switch. Reclaim it and flows turn positive with a possible **\$7bn** of mechanical buying; stay below and the process says reduce toward minimum size.
- **Gold 4,381** — the line that decides whether Keith adds back to a position he cut to minimum size on Tuesday.
- **Dollar Index 98.41** — the low end of the risk range. A break there extends every commodity, bitcoin and gold correlation currently driving the book.

Summarised from Hedgeye Risk Management research. The Hedgeye Monthly Inflation Nowcast (9 Sep 2026, 12:20 EDT) appeared in the feed but sits outside the current subscription, so it could not be summarised.